

c question around your compensation or one of your direct reports' please schedule a call with [total-rewards@ gitlab](mailto:total-rewards@gitlab) to review.

1. We will update this page and the processes throughout the year.

1. We'll review your pay as soon as your job-family or level factor changes.

1. If we change our SF benchmark for a job family without changing the requirements, we review the compensation both for existing team members and new hires. If the SF benchmark is changed together with the requirements this review might happen at the time of the change or in our yearly cycle.

1. We offer bonuses and incentives, but we don't offer ping pong tables or free lunches. We think it is more important to offer people flexibility and freedom.

1. We hire across the globe, but we're not location agnostic. Your timezone, the location factor in your region, and the vicinity to users, customers, and partners can all be factors. For example, we may favor one applicant over another because they live in a region with a lower location factor or because we need someone in that timezone.

1. People on quota (account executives, account managers, and sales leadership) have variable compensation that is about 50% of their On Target Earnings (OTE). Individual contributors in the sales organization have variable compensation that is purely based on commission.

1. Compensation decisions around level and experience levels and for functions not in the calculator are taken by the Compensation Group.

Competitive Rate

We want our compensation to be at a level where we can recruit and retain people who meet our requirements.

Our requirements for all job-families are at or above the average in the market.

Therefore, we can expect to be at or above the 50th percentile of the survey data gathered from providers like Comptryx and Radford.

Please do not use the term market rate since this can mean either competitive rate or survey data.

Also see our SF benchmark.

When discussing a competitive rate for a single person at GitLab, please refer to this as their lottery factor. For example, if this person won the lottery and left the company what impact would that have. Other common industry terms are walk away factor or bus factor, but those both hold a negative connotation.

Placement in the Compensation Range

As part of offering a competitive rate within our transparent Compensation Calculator, team members are able to see where they fall within the compensation range for their role in their location. Typically in the technology sector, the majority of team members are likely to sit between the minimum and slightly above the median of the overall compensation range. It is not common to see a team member at the top of the range as this would leave little to no room for salary growth.

It is important to note that where someone falls within the compensation range is not an indicator of performance, nor is it a sign of promotional readiness. For more information on how performance is linked to compensation please review the following handbook section. This is different from the Compa Groups GitLab used to have when the bands were more narrow. Additionally, where a team member sits in the range may change as GitLab's compensation

philosophy around competitive rates iterates to allow more room for salary growth.

Sharing Compensation

There are no policies in place at GitLab that prevent team members from sharing their personal compensation data, though we encourage that any concern a team member has with compensation be directed directly to your manager or Total Rewards as the most efficient route to address concerns and arrive to a resolution.

Paying Local Rates

Why we pay local rates

Competitive rates for roles vary depending on regions and countries.

We pay a competitive rate instead of paying the same wage for the same role in different regions.

Paying the same wage in different regions would lead to:

1. If we start paying everyone the highest wage our compensation costs would increase greatly, we can hire fewer people, and we would get less results.
1. A concentration of team members in low-wage regions, since it is a better deal for them, while we want a geographically diverse team.
1. Team members in high-wage regions having much less discretionary income than ones in low-wage countries with the same role.
1. Team members in low-wage regions being in golden handcuffs and sticking around because of the compensation even when they are unhappy, we believe that it is healthy for the company when unhappy people leave.
1. If we start paying everyone the lowest wage we would not be able to attract and retain people in high-wage regions, we want the largest pool to recruit from as practical.

As more companies transition to partial or all remote workforces, we are tracking (internal only) the pay philosophy decisions made by these companies to understand the effects these decisions may have on the tech industry and future of remote pay.

Hire the best candidate

We hire the best candidate for each role regardless of location, cost, or other factors.

During the sourcing we do optimize what potential candidates we approach in order to bring more diversity (both geographically and people from underrepresented backgrounds) to our team.

Blog Post

We also wrote a blog post about paying local rates.

Market-Based Approach

We have a market-based approach to compensation because:

1. It allows for us to adapt to market changes, thus remaining competitive for local talent
1. Role, location, and level benchmarks keep compensation bands consistent. Market-based

benchmarks also help with keeping it fair and consistent rather than expecting our team members to negotiate their pay.

1. Prevents wage compression which occurs when new employees negotiate and get higher wages than those being paid to current team members.

1. As long as budget permits, we do what's right for the market even if it means paying a team member higher than their "expected" pay.

Compensation Group

The Compensation Group is comprised of the CEO, CFO, and Chief People Officer. The Compensation Group is responsible for all Total Rewards escalations based on the approval matrix. When there is no time to coordinate with the group, the CEO can make a decision and inform the group. When the CEO is away (e.g. vacation), the two other members of the group can make a decision and inform the group. This group is different from the Compensation Leadership Development Committee at the board level.

Approval Matrix:

Approval Type	Approvals Needed	Process
Compensation Requests outside of band (cash/equity) for new hires and current team members	Chief People Officer	Process Document
Approval of Benefit Plan Changes (due to implementation or renewal)	If Under 50k USD, Finance Business Partner (G&A) If 50k-100k USD Finance Business Partner (G&A) and VP, Finance If 100k+ USD Finance Business Partner (G&A), VP, Finance, and CFO	Total Rewards to summarize implementation or renewal details
Final Approval of Annual Compensation Review	Chief People Officer, CFO, and CEO	Total Rewards to present final proposed increases and budgetary impact
Review/approval of Executive and Board Compensation	Chief People Officer and CEO	Total Rewards to present summary of proposal, once approved escalate to Compensation Leadership Development Committee for Final Approval
Internal Demotion requests	Chief People Officer	Demotion Process

Compensation for Acting and Interim Roles

Effective Q2 of FY 2021, we have established a one time bonus payment process for team members that are asked to step into an acting or interim management role. Team Members in an acting or interim management role should review the expectations of an individual in the management group.

Criteria for Eligibility

For an interim role to be considered, the need for coverage would need to be longer than a 30 day time period.

The interim role has to be at a higher level than the current role of the team member.

If a team member assumes 100% of the workload of a lateral role for 60 days or more in addition to their permanent full time role, an interim bonus may be considered by the People Business Partner and leader of the group.

Effective 2023-02-01, interim bonuses in Go-to-Market roles (CRO Organization, Sales Development) will be available to people managers temporarily occupying a lateral or higher

management position in addition to their permanent full time role.

In case the interim role is within another job family, team members will also be eligible for the interim compensation on a lateral level.

Since Acting roles do not typically end in promotion, the decision on whether the acting role meets the eligible criteria rests with the Hiring Manager and the Department head.

Calculation of Interim Bonus

The formula for the bonus recognizes the length of time that the team member is playing the interim role. Payment of the one time bonus would occur at the completion of the interim role. The bonus would be calculated using the following formula:

The greater value of the standard discretionary bonus amount (\$1,000 at the current exchange rate) OR the following calculation:

For team members on a base salary compensation plan, your bonus will be an additional 10% of your salary for the duration of the interim role period. The calculation is as follows:

$$(\text{Annual Base Salary in Local Currency} / 365) \times .10 (10\%) \times \text{of Calendar Days in the Interim Role}$$

For team members on an OTE (On Target Earnings) compensation plan in Go-to-Market roles, interim compensation will generally be based on results achieved by the interim team in the interim period:

Interim leaders will dotted-line manage the new team, meaning they will not assume direct management of the team in Workday, but will instead act as a temporary leader. As such, quotas will not change during the interim period.

When interim managing a lateral team:

The interim bonus will be calculated based on Net ARR closed during the period x a representative BCR (base commission rate), calculated based on the leader's OTI and the interim role's annual quota

When interim covering for a higher leadership position:

The interim bonus will be calculated based on Net ARR closed during the period x a representative BCR (base commission rate) for the higher leadership position

Standard commissions payments will continue for the duration of the interim role

All in-plan (within OTI) components are eligible to be included in an interim bonus calculation for a GTM role, e.g. Net ARR, New Logo, Professional Services Bookings, etc.

For teams measured on pooled compensation plans (e.g. SAs and CSMs), interim bonuses will be based on OTE for the interim role while in seat instead of performance:
$$(\text{Annual OTE in local currency} / 365) / \times .10 (10\%) \times \text{of Calendar Days in the Interim Role}$$

All people managers in GTM roles are candidates for interim management assignments, outside of members of the CRO or CMO leadership teams, i.e. direct reports of the CRO or CMO

Total bonus payments for GTM team members in an interim management role shall not exceed \$50,000 USD for a single interim leadership assignment

The interim bonus should be calculated based on the team member's salary during the interim period, not the salary after the interim period. If your compensation changes during the interim period (for example, relocation, country conversion, etc.), we will calculate the interim bonus based on the pay rate of each calendar day.

Tracking and Submitting Interim Bonuses

Tracking

Interim/acting roles should be tracked in Workday, in some cases the process is initiated in Greenhouse or may also be tracked by the manager by completing a Submission of Acting Role for a Team Member form.

Guidance on different processes can be found below:

| Greenhouse | Acting/Interim Tracker |

| ----- | ----- |

| All interim roles that have gone through our Greenhouse interview process | Lateral acting role in the same job family |

| More senior acting/interim role in the same job family | Lateral acting roles in different job families |

Greenhouse - Acting/Interim Tracker examples:

Engineering Manager takes on an acting role as a Product Designer

Engineering Manager takes on another Engineering Manager role simultaneously in a different group

Workday examples:

An Engineering Manager takes on an interim role as a Senior Engineering Manager

A Product Manager takes on an interim role as a Senior Backend Engineer (after having gone through an interview process)

The process for tracking interim/acting roles is as follows:

1. (For Acting), Managers will align with their Manager and People Business Partner and align on the following:

Whether the role is interim or acting

Whether the role is in a new job family or the same job family

Whether the interim/acting role is lateral or a higher level

The effective start date of the interim/acting period

Once agreed and approved, Managers will submit the Submission of Acting Role for a Team Member form.

1. (For Interim) People Business Partner will submit a Job Change - Change Job Details request in Workday. Job title should not be changed, as compensation and job family are not altered as part of the interim/acting process. Only a modification to the team member's Business Title is required. This step is only done for interim positions as acting positions are not tracked in Workday.

Submitting

When the interim/acting period ends, the following process should be followed to submit the interim bonus request:

(For Acting bonuses) The manager references the start/end dates Acting period as initially submitted through the Acting form for the bonus calculation.

(For Interim bonuses) The manager references the Workday Job tab and clicks into Job History and review the 'Business Title' column to confirm the start date of the interim period

Once confirmed, the Manager submits the bonus in Workday. Follow the Request a One-Time Payment job-aid to submit an OTP. Manager must also provide the start and end date of the of interim period in Workday under the Additional Information section in Workday

Note: The team member must be an active team member of GitLab at the end of the interim role period to be eligible to receive a bonus payment. If a team member leaves GitLab during the interim role period, they will not be eligible for a prorated payment.

Examples of the Interim Bonus Calculations below

Senior Engineer has a base salary of \$125,000. She has taken on the interim role of Engineering Mgr for 3 months (Jan-March) which is a total of 90 days. The bonus for this interim role would be $(\$125,000/365) \times .10 \times 90 = \$3,082.19$

Finance Business Partner has a base salary of \$100,000. He has taken on an interim role covering multiple teams while his coworker is on leave for 4.5 weeks which is a total of 31 days. The bonus for this interim role would be $(\$100,000/365) \times .10 \times 31 = \849.32 so we would round up for this bonus and process as a discretionary award.

Area Sales Manager interim manages a lateral team after a peer ASM has been promoted. The ASM has a base commission rate of 1% for Net ARR and \$3,000.00 per New Logo. During their interim coverage the Area closes \$1,000,000.00 of nARR and 2 First Order new logos. The bonus calculation would be $(\$1,000,000.00 \times .01) + (2 \times \$3,000.00) = \$16,000.00$.

Area Sales Manager interim manages an entire Region after an AVP leaves GitLab. AVP base commission rates are 0.3% for Net ARR and \$800 per New Logo. During the interim coverage period, the team closes \$5M of Net ARR and 4 New Logos. The bonus calculation would be $(\$5,000,000.00 \times 0.003) + (4 \times \$800.00) = \$18,200.00$.

Exchange Rates

{{< people-group/exchange-rates >}}

Paid in your local currency

The compensation calculator is updated using the February 1 point in time exchange rates according to what is shared by Finance. We are using the point in time exchange rate due to significant lag when utilizing an average exchange rate.

Adjustments to existing team members' compensation who are paid in local currency are made only during the applicable compensation review cycle. We only adjust compensation during the review cycle since being paid in local currency means that your local purchasing power does not change.

Exchange Rates for Bonus Processing

All one-time bonuses including Discretionary, Referral, and Working Group Bonuses where the intended value is awarded in USD will be converted to local currency using the set exchange rates above. This is a reversion of the prior policy put in place to use monthly rates with the

reversion going into effect as of September 1, 2023. In the future, when we are able to put an efficient process in place for maintaining more up-to-date conversion rates in Workday, we will further revise this policy to use more current rates.

Not paid in your local currency

Team members contracted through CXC or IT BV may have the option to be paid in USD or EUR when there is volatility in their local currency. This change can be made only once during your employment and only if CXC and payroll can support it. USD and/or EUR payment options are not available in all countries.

The conversion from local currency to USD or EUR will be calculated at the time of the update. All future salary adjustments will be based on the new currency amount, regardless of fluctuations in the local currency. This provides stable compensation for team members who opt into this arrangement.

If a team member is currently paid in a non-local currency, they may request to move back to their local currency. Once a team member has requested to move back to their local currency, this decision will be final.

Please reach out to People Connect in order to understand if you are eligible to update your currency to USD or EUR and to initiate this process.

Hourly Employees

GitLab is committed to following all applicable wage and working hours laws and regulations. To help ensure that all work performed for GitLab is compensated correctly, team members compensated on the basis of hours worked must report and record time accurately.

Sales Compensation

Sales and Sales Development roles at GitLab that are subject to quota and paid commission based on the Sales Compensation Plan are not located in the compensation calculator. This includes roles in the following departments:

Channel
Commercial Sales
Enterprise Sales
Sales Development

These roles are still benchmarked using market data and are assigned to a pay differential zone based on their location factor according to the following table:

Zone	Location Factor Range	Zone Differential
Zone 4	0.01 - 0.49	0.60
Zone 3	0.50 - 0.69	0.75
Zone 2	0.70 - 0.85	0.85
Zone 1	0.86 - 1.00+	1.00

Exchange rates for commissions payments are as defined per the terms of the Sales Incentive Compensation Plan. Please reach out to the Sales Commissions team for further information.

Director Compensation

Director compensation is determined as part of the GitLab Compensation Calculator and is comprised of base salary and bonus. The location factors for Directors have a floor built in where the location factor for a team member is subject to either the US Director Minimum location factor of 0.8 or Global Director Minimum location factor of 0.7. If someone is in a location with a higher location factor then this minimum does not apply and the higher location factor will be used.

Directors who are not already enrolled in the Sales Compensation Plan or other performance incentive plan are eligible for a 15% bonus of current base salary. More information on the bonus plan can be found in the Company Director and above Bonus Plan section.

Executive Compensation

Executive Compensation (VP and above) is derived outside of the GitLab Compensation Calculator using the following process:

1. The Total Rewards team collects survey data to review against current compensation to ensure alignment in cash (base/variable) and equity refresh values.

Survey Data from the GitLab peer group: GitLab will analyze the peer group data from Radford against peer group data from Compensia.

1. The Total Rewards team will advise on an increase.

1. The recommendation will be reviewed by the e-group leader for VPs and above. The final approval for VP compensation is the Compensation Group. Total Rewards will work with finance to ensure alignment to budget.

1. E-Group compensation is reviewed in partnership with Compensia based on the peer group data provided. The CEO will recommend increases and refresh grants for his direct reports to the Compensation Leadership Development Committee for approval.

1. The Total Rewards team will then notify the CEO or direct manager of the increase who will then communicate it to the individual.

As each Executive has an individual market assessment upon hire, we expect compensation to be aligned to market at each compensation review. If there are large changes in the market for a specific role, those will be addressed.

Company Director and above Bonus Plan

Directors and above are eligible for the Company Bonus Plan.

Communication

Prior to the bonus payment and after Compensation & Leadership Development Committee approval, the CFO will confirm the achievement % of the bonus plan in the director-and-above slack channel.

Timing:

Payments expected to occur 60 days after the end of the fiscal period but are dependent on the accounting close process and committee approval.

Payout:

The bonus will be paid out semi-annually.

The first semi-annual payment will be funded up to a maximum of 80% of target bonus amount for the period of February through July. Any full plan year adjustments will be made as part of the final bonus payout.

Example: A director who has been eligible for the bonus plan from February 1 has an annual target of 30,000 USD. Their target bonus amount for the first half of the fiscal year, February through July, is 15,000 USD. Therefore, they will receive 80% of 15,000 USD or 12,000 USD for their first semi-annual payment.

The final bonus payout will be based on actual performance against plan less amount paid at the semi-annual payout.

If the first semi-annual bonus is achieved but Company performance falls below the annual threshold the second half bonus will not be achieved but the first half bonus will not be rescinded or otherwise payable back to the Company.

Approvals:

The bonus plan is approved by the Compensation Leadership Development Committee of the Board of Directors.

Performance against Plan targets is reviewed and approved by the Audit Committee of the Board of Directors.

Bonus payouts are recommended by the CFO and approved by the Compensation Leadership Development Committee of the Board of Directors.

Proration and Eligibility:

The Director bonus will be prorated for team members who start or are promoted into the Director bonus pool between February 1 and July 31 (first half bonus), or start or are promoted between August 1 and January 31 (second half bonus).

In addition, the team member must be actively employed by GitLab at the time of payout.

GitLab reserves the right to change or discontinue the bonus program at any time. All bonus payouts are discretionary and require the achieving of specific company results that will be communicated each year.

Sales Commissions handbook page.

Bonus Payout Approvals

The Compensation Leadership Development Committee approves all bonus payouts for direct reports to the CEO and overall bonus funding at the end of each Fiscal Year. The Compensation Group internally at GitLab approves all other bonus payouts.

1. The Finance team will generate a calculation of the total bonus payout for the Fiscal Year within 30 days of the last day of the fiscal year including: Employee , Name, Reporting to, Division, Department, Title, Hire Date, Total Eligible, Total Payout.

1. The Total Rewards Team will audit the calculation and eligibility list.
1. The final payout amounts will be approved by the VP, Total Rewards and VP, Finance.
1. The Total Rewards Team will collaborate with the Finance team to include the total spend for the bonus plan, attainment, and executive specific payout for the Compensation Leadership Development Committee meeting. Approval of the bonus plan would be captured in the Committee meeting minutes.
1. Once approved by the Compensation Leadership Development Committee, the Total Rewards team will notify Payroll that the bonuses are ready for processing.

Learning GitLab's Compensation Framework

As part of our Q1 OKR, we will be working on ensuring there are materials for a compensation certification. The following are the initial questions to generate the certification.

Compensation Fundamentals Training

Please take time to complete the Total Rewards Compensation Fundamentals Training in Level Up.

This training includes details such as:

Purpose of Total Rewards

Components of Total Rewards (Cash, Equity, Benefits) resulting in a Total Package

Cash comp versus Equity

Market Pay Practices

Pay Ranges and how they operate

Pay for Performance vs Market Rates

Cost of Labor Market vs Cost of Living

Compensation in an emerging remote environment

The Why Questions

Why do we have the compensation framework we have now?

Why does GitLab aim to pay a competitive rate?

Why does GitLab pay local rates?

Why does GitLab have a Compensation Calculator?

The What Questions

What is the foundation of GitLab's compensation framework?

What is the formula of the Compensation Calculator or otherwise known as the Calculator "Inputs" or "Factors"?

What does the SF Benchmark mean on the Compensation Calculator?

What does the Location Factor mean on the Compensation Calculator?

What does the Exchange Rate mean on the Compensation Calculator?

The How Questions

How do we continue to make sure that our team members are compensated according to their skill level and receive equitable pay?

How do we make sure that the different Compensation Calculator inputs remain relevant and

competitive to market?

How does the Total Rewards team carry out the Annual Compensation Review?

Knowledge Assessment

You can test your knowledge on our compensation by taking the GitLab Compensation Knowledge Assessment quiz.

If you have questions about compensation or the content in the Knowledge Assessment, please reach out to the Total Rewards team.

SECTION: total-rewards/compensation/compensation-calculator/_index.md

>Notice: The below information is subject to change in accordance with the Job Architecture Project. For more information, please read the Job Architecture Project handbook section.

Introduction

On this page, we explain the different factors that make up our Compensation Calculator and its alignment to GitLab's values and Compensation Principles.

Use the calculator

We source some of the information the calculator is based upon, including the San Francisco benchmark and location factors, from 3rd party, non-public sources. As a result, the full compensation calculator application itself cannot be made completely public.

Instead, consistent with our value of transparency but in line with our agreements regarding how we use data we have sourced, we provide information regarding the type of data we use to build the calculator and how that information helps us build as complete and accurate of a calculator as possible.

Team members can access the calculator at any time with their GitLab credentials. Applicants will be issued credentials and have access to the calculator during the interview process. The information from the calculator should only be shared with those who have access (GitLab team members and candidates).

You can use the calculator to determine the overall Total Rewards Package Offered by GitLab (Cash + Equity + Benefits). Internal team members can also use the following spreadsheet by making a copy and adding in your specific information to calculate the GitLab Total Rewards annual amount.

Contact Total Rewards

For any questions relating to the compensation calculator, reach out to Total Rewards.

The Compensation Calculator

As a natural extension of the Compensation Principles and our commitment to transparency, sharing, efficiency, directness, and boring solutions (see our values) we developed a Compensation Calculator.

The compensation of executives and anyone on a quota is not set with the calculator. We use a Compensation Calculator because it helps us align compensation to our values:

1. Transparency - The calculator is open to GitLab team members and candidates in the pipeline. This means that at the time of hiring, candidates don't have to blindly negotiate compensation. They simply need to enter the individual inputs on the Compensation Calculator and it comes up with a band consistent with the individual's circumstance - where they live, level, currency, etc. When team members move across levels, departments and locations during their time at GitLab, they'll also be able to see the appropriate band for the change.
1. Efficient - There's no need to have multiple back-and-forth conversations between team members, managers, recruiters and the Total Rewards team. For hiring managers and recruiters, they simply use the Compensation Calculator for the roles they're hiring for rather than having multiple approval levels and conversations. Similar with promotions and any other changes with locations, benchmarks, levels, team members and managers can discuss compensation according to the inputs on the Compensation Calculator rather than having negotiations.
1. Diversity, Inclusion & Belonging - People with the same attributes should earn the same. The Compensation Calculator reduces unconscious bias or giving higher pay to individuals who can negotiate better. The Compensation Calculator allows us to take a data-driven approach to compensation where there's fairness across all teams, levels and countries.
1. Collaboration - Allows for team members to review the Compensation Calculator and have the Total Rewards team iterate based on the data and feedback we get from the team.
1. Iteration - The Compensation Calculator gets reviewed when feedback is received and all inputs are reviewed during the Annual Compensation Review.
1. Results - The Compensation Calculator helps us focus on our outputs rather than spending unnecessary time talking about and negotiating money. It shifts conversations and focus from 'I want X money' to looking at the training and mentorship necessary for our team members to increase within the range based on performance.

Goals of the Compensation Calculator

The goals of the calculator are:

1. Calculate compensation for 200+ regions all over the world.
1. Based on a simple formula.
1. People with the same attributes should earn the same.
1. The adjustment for paying local rates should be the same if you are in the same location.
1. You should be able to calculate your compensation in case you know or made an assumption about your level.
1. That it is as close to a competitive rate as possible given the other constraints.
1. Be able to calculate compensation for most of our offers without involving a compensation specialist.

The Compensation Calculator Formula

Your compensation = SF benchmark x Location Factor x Level Factor x Exchange Rate

The calculator will output the amount as $\text{base} + \text{variable} = \text{total target cash (TTC)}$

Your options can be found on stock options and benefits can be found on relevant entity specific benefits pages.

The compensation calculator is updated in December and June with the proper exchange rate, keeping compensation levels in line with local purchasing power.

Disclaimer

The compensation calculator is a tool to assist the Total Rewards team in determining a compensation package for new and existing team members. The results of the calculator are not binding. Written correspondence through a contract or job change letter specify all official compensation changes. We reserve the right to change the calculator at any point in time.

Reporting a Discrepancy

As with all things at GitLab, the compensation calculator is a constant work in progress. There are a few options for reporting a discrepancy if you find the calculator isn't outputting data that is true to market.

If you are an internal GitLab team member or external to GitLab:

- Create an issue utilizing the issue templates.

 - Requesting a review of a new location factor.

 - Requesting a review of an existing location factor.

 - Requesting a review of a benchmark.

- Email total-rewards@domain for more personal inquiries.

If you prefer to remain anonymous:

- You can use the Reporting a Compensation Discrepancy Form.

 - Providing an email is optional, but we will only reach out directly with any updates if an email is provided.

Rounding Best Practice

Previously, our compensation calculator and processes (percentage changes from compensation review, relocations, currency fluctuations, etc.) produced numbers that were exact, sometimes down to the dollar and cents. To make the numbers more digestible, we are implementing a practice to round up compensation in the local currency to the nearest hundreds. This rounding practice applies to future compensation changes from July 2020 onwards.

SF Benchmark

Introduction

SF benchmark is the team member compensation at a compa ratio of 1.0 at or above market for the role in San Francisco, which we determine using various sources of survey data: Radford, Comptryx.

Benchmark Evaluation

Benchmark Types

Benchmarks are determined based on the following types: Individual Contributor (IC), Manager, Director, Senior Director. The Total Rewards team will add an entry for each type listed within the job family. For example:

yaml

iccttc:

compensation: 100000
percentagevariable: 0
frombase: true

managerttc:

compensation: 140000
percentagevariable: 0
frombase: true

directorttc:

compensation: 180000
percentagevariable: 0.15
frombase: true

seniordirectorttc:

compensation: 220000
percentagevariable: 0.15
frombase: true

Note: Where there is no variable component offered (ICs and Managers) GitLab runs the benchmark evaluation off of base salary only. Where there is a variable component offered, GitLab runs the benchmark evaluation off of Total Target Case (TTC).

Benchmark Evaluation for Existing Roles

Benchmarks are evaluated annually as part of the Annual Compensation Review process. Benchmarks can also be adjusted as needed throughout the year.

To analyze benchmarks:

1. Use the job code as the unique identifier to match all data.
1. Outline whether the role is Base or TTC (Total Target Cash) to pull data accordingly.
1. Add in the Radford and Comptryx Job Code.
1. Generate a formula to look up the proper survey data from both Radford and Comptryx at the 50th and 75th percentile.
1. Propose an updated benchmark taking the maximum of the 50th percentile median or the current benchmark.
1. Evaluate the percent change.
1. Generate a merge request to update the benchmark in the relevant data file and assign to the executive of the group for approval.
1. Evaluate any impact to the current team if this benchmark change is done outside of annual compensation review.

New Benchmark

Whenever a new role is established, a new benchmark must also be determined. The Total Rewards team is pinged on the merge request for a compensation review to start the process. The Total Rewards team should ensure that the request is not for a role that already exists and has a benchmark.

Compensation Benchmarking is the process of using internal job descriptions to match salary survey jobs in order to identify the external survey data for each benchmark positions. Compensation data can fluctuate from very high salary data to very low salary data for roles that have the same or similar job titles. Example would be Field Marketing Manager. A Field Marketing Manager at GitLab or another SaaS or Technology company salary benchmarks would and can be included with Field Marketing Manager for other Non Technology companies, as an example RedBull. Though they have the same "title" the role, scope and salaries for these roles are very different. Based on these variants in comp data we will look at the relevant comp data for each role and use the median for the benchmark.

Each new job family will be assigned a job code and evaluated through the same process as for existing role.

Benchmark Adjustment

As stated in competitive rate we want to recruit and retain people who meet our requirements. If any one, or a combination of, the following statistics is met, a benchmark review can be requested to address any concerns around the benchmark:

- An open role is open for longer than 100 days

- A minimum of 4 qualified candidates reject an offer extended by GitLab, or withdraw from the hiring process, due to a reason of compensation for an open requisition

- Non qualified candidates who do not move forward in the hiring process, would not count towards this minimum as this would not be a reason of compensation, but more about competency or other qualifying reasons. We would still want to collect this data as an input for a compensation analysis on candidate expectations.

- The Recruitment Declines and Withdrawals template is compiled with at least 10 rows of significant/qualified candidate data, including equity information.

- It is important to ensure when we discuss compensation we have an idea of the candidate's expectations of total rewards which is inclusive of cash and equity for compensation.

- A voluntary departure rate of 12% or more by current GitLab team members in any given department due to the reason of compensation.

- Evidence of leading indicators of increased compensation, for example:

 - Increased recruiter reachouts to a specific department or role.

 - Government policy announcements related to a specific business sector.

 - Engagement Survey Results.

Timing of requests for benchmark adjustments:

Requests to review a benchmark adjustment can be requested between Feb 1 and Oct 1 of the fiscal year, with the latest effective date of the potential benchmark update being Nov 1.

There will not be any benchmark adjustment reviews in Q4 due to the timing of the annual review of benchmarks in Q4.

Summary of the process:

Once data has been collected, the Total Rewards team will review the compensation expectations. During this review, we will look at survey data and candidate expectations (specifically declines due to compensation) to recommend an adjustment to our SF benchmark and target percentile for the role. Total Rewards will coordinate with FP&A and the department leader to draft a business case to be presented to the e-group leader. The business case would include:

A google sheet with market data, candidate expectations, and impact to the current team.
A google doc outlining the problem statement, what the department has already tried, and an overall proposal which clarifies the budgetary impact.

Please see the following for a full summary of the benchmark review process:

1. The recruitment team member should compile significant data in the Recruitment Declines and Withdrawals Template for a specific job and conclude that a benchmark review is needed due to recruiting challenges related to compensation reasons/expectations. Significant data is defined as 10 rows of qualified candidates.
1. The recruitment team member should discuss challenges and concerns with the hiring team and/or manager and agree that a benchmark review is necessary.
1. The hiring manager/team should include the PBP and Department Head (Director/VP), and other People Group team members as appropriate, in a discussion to obtain initial approval by Department Head for benchmark review to ensure a willingness to make budget trade offs if a benchmark review results in a recommendation for a higher adjustment.
1. After receiving Department Head approval, the hiring manager should send an email to the Total Rewards team (total-rewards@gitlab.com) and copy the PBP, with the Recruitment Declines and Withdrawals file, along with the business case, confirmation of Department Head approval, and proposal or expectations of adjustment.
1. The Total Rewards team will review the email and perform an analysis of the benchmark in question if it is agreed that a review is warranted. If it is not warranted, the Total Rewards team will go back to the hiring manager and PBP to discuss further.
1. The Total Rewards team will summarize and review the results of the benchmark review with the hiring manager and PBP, and propose a recommendation and next steps for the benchmark adjustment, including reaching out to Finance for budgetary impact.
1. The Hiring Manager should discuss the results to the Department Head, ensuring approval to move forward with the final recommendation.
1. Once the Department Head has approved, the FP&A team will review and approve and discuss any tradeoffs needed for the department.
1. The Department Head would escalate the business case for approval to the e-group Leader after approval from the Total Rewards and FP&A team.
1. After approval from the e-group Leader, the Department Head and PBP review and prepare adjustments and communications.
1. The Total Rewards team will update the Compensation Calculator and all other appropriate documentation
1. If applicable, team members are notified of a pay adjustment and related information.

Job Codes

To automate the process of pulling survey data from Comptryx and Radford to review benchmarks, GitLab has mapped each job title with a corresponding job code. As a first iteration GitLab

will use the job codes Radford has outlined. Each job family and level must have a unique job code. The following structure is used:

Radford Code to be used as job code.

If there is a duplicate Radford code, the job code in Workday will have a letter behind to differentiate (A, B, C, etc).

If there is no job code, GitLab will generate a four digit unique job code starting with "N".

For example:

Backend Engineer = 5163

Senior Backend Engineer = 5164

Distribution Engineer = 5163A

Senior Distribution Engineer = 5164A

All current job codes can be found by the Total Rewards team in the "Job Codes" google sheet on the Final Job Code Tab.

Location factor

Introduction

Location Factor is calculated using multiple data sources to conduct a market analysis of compensation rates globally: Economic Research Institute (ERI), Comptryx, Radford. This is not a cost of living analysis, but instead a cost of labor market evaluation compared to San Francisco. The Total Rewards team will use their best judgement in determining the input per location based on our Compensation Principles.

In Workday

In Workday the Location Factor is embedded into the Grade Profile as the second field. For example in a Grade Profile of "210.070.EUR", the second field "070" is referring to the Location Factor. As per Amsterdam's Location Factor in the Compensation Calculator, this is 0.70.

The Grade Profile can be found under the Compensation tab, and is only viewable to managers.

Related issue

Geographical Areas

The location factor depends on your geographical area. To determine geographical areas as it relates to compensation, we looked at what the United Nations outlines globally:

Americas/LATAM:

US: Central

US: Mid Atlantic

US: South Atlantic

US: Mountain

US: New England

US: Pacific

Canada
Central America
South America
Caribbean

EMEA:

Eastern Europe
United Kingdom
Northern Europe
Southern Europe
Western Europe
Middle Africa
Northern Africa
Eastern Africa
Southern Africa
Western Africa

APAC:

Central Asia
Eastern Asia
Northwestern Asia
South-eastern Asia
Southern Asia
Southwestern Asia
New Zealand
Australia

To determine your area:

1. Select the country you live in. This filters out all areas outside of your country.
1. Select your Province or State (if applicable).
1. Select your Metro Area if you live within a commutable one hour and forty-five minutes of a city listed.

The commute time of one hour and forty-five minutes is calculated using standard transportation methods such as car or public transit (e.g., train, bus). We use Google Maps to estimate the travel time from the city center to your address, specifically during normal business commuting hours to account for typical traffic patterns (i.e. arriving to the city by 8 AM and departing to your address at 5 PM). If the estimated travel time falls within one hour and forty-five minutes radius during these peak commuting hours, you are considered within the commutable range for that Metro Area.

If you are within a commutable one hour and forty-five minutes of more than one city, use the city with the shortest commute as your location. If not, select "Not Applicable."

Note, in some unique cases the Metro Area within a one hour and forty-five minute radius may be in a different state (United States) or Province (Canada).

If there are no additional boxes for State/Province and/or Metro Area for the country you select, this country has the same location factor regardless of the city you live in. Similarly, if there is no additional box for Metro Area after selecting a State/Province, this state or province has the same location factor regardless of the city you live in.

1. If your country is not listed, reach out to total-rewards@domain to gather relevant data.
1. When you move, you have to inform People Ops and Total Rewards, per the Relocation process and your compensation may be adjusted up or down. Refer to Total Rewards team or the Compensation Calculator to see what the likely impact will be.

If the location of a metropolitan area is higher than the regional minimum, the metropolitan area's location factor is used for the calculation.

Calculating Location Factors

GitLab will gather and analyze the data for each location factor annually as part of annual compensation review. We will also iterate on location factors as needed throughout the year.

1. Data Gathering

ERI: Review the Cost of Labor Market Analysis of each Geo Area to San Francisco at the 100,000, 150,000, and 200,000 salary rate. Take the average of all three data points.

Comptryx: Pull a report from Comptryx with all job families in SF as well as each location available in Comptryx to evaluate the differential.

Radford: Pull a report from Radford with all job families in SF as well as each location available in Radford to evaluate the differential.

In reviewing the data set, determine if a new geo area needs to be added to the list.

1. Data Analysis

For geographical areas:

Take the average of all non-metro data to determine the location factor for the geographical area. If insufficient non-metro data is available, use all available data and deflate for metros.

For metro areas, take the maximum of:

the average of all data sources rounded up to the nearest 0.05 OR

the current location factor or geographic area (so as to not reduce location factors).

If the location factor for the metro area is higher than for the geographical area, pull this out as its own location factor.

Analyze the output based on geo areas to adjust location factors where needed. Add a comment with the rationale for the adjustment.

Reasons why the formula may be adjusted:

Not enough number of data points for the output to be statistically relevant

Adjusted to align with other metros in geo

When analyzing: Focus on where we are having troubles talent acquisition, retaining, or have a smaller population of team members as these can be indicators of a misalignment in the region.

Level Factor

Level Factor is currently defined as:

Junior: $0.8 \times \text{icttc}$

Intermediate: $1.0 \times \text{icttc}$

Senior: $1.2 \times \text{icttc}$

Staff/Manager: $1.0 \times \text{managerttc}$

Senior Manager: $1.2 \times \text{managerttc}$

Director: $1.0 \times \text{directorttc}$

Senior Director: 1.0 x seniordirectorttc

The nomenclature can be adjusted for each job family to ensure the appropriate level to select is clear.

GitLab Job Grades

GitLab job grades aid in mapping a role for internal equity with respect to cash and equity. For example, if there is a stock option update, this mapping can act as a reference to update the compensation calculator for the various roles to ensure alignment. Job Grades can also provide an alternative path to finding the current number of options offered without having to fill out the compensation calculator.

Job Grades

Note: This table excludes Enterprise Sales, Commercial Sales, Channel Sales, and Sales Development. Grading can be seen in the table below.

Grade	Management	Individual Contributor
15	CEO	
14	EVP/CXO	
12	VP	Fellow
11	Senior Director	Senior Distinguished
10	Director	Distinguished Senior Principal Product Manager
9	Senior Manager Group Manager, Product	Principal Principal Product Manager
8	Manager	Staff Senior Product Manager Consultant
7		Senior Product Manager
6		Intermediate
5		Junior Associate
4		Intern

Dual career tracks can be added to each job family (regardless of division) when supported by data. Each individual contributor level above senior (grade 7) will have links to market examples of that level in the relevant section of the job family.

Sales/Sales Development

Grade	Management	Individual Contributor
15	CEO	
14	EVP/CXO	
12	VP	
11	Senior Director	
10	Director	
9	Manager (Sales) Senior Manager (Sales)	
8	Manager (SDR/BDR) Associate Manager (Sales)	Alliance

Business Development Manager Enterprise		
7		Mid Market
6		SMB
5		SDR/BDR

Customer Success

```
<!-- vale handbook.Repetition = NO -->
| Grade | Management | Individual Contributor |
|-----|-----|-----|
| 15 | CEO | |
| 14 | EVP/CXO | |
| 12 | VP | Fellow |
| 11 | Senior Director | |
| 10 | Director | Distinguished |
| 9 | Senior Manager <br> Manager | Principal <br> Staff |
| 8 | | |
| 7 | | Senior |
| 6 | | Intermediate |
| 5 | | Junior |
| 4 | | Intern |
<!-- vale handbook.Repetition = YES -->
```

Compa Ratio

Compa Ratio is a term used internally in the Total Rewards team to evaluate Pay Equality.

The Compa Ratio where within the range spread a team member falls in the calculator. Specifically, the GitLab compensation calculator has a 40% spread (+/- 20% from the median). It is common to see range spreads up to 50%.

SECTION: total-rewards/compensation/compensation-calculator/calculator.md

As of May 30, 2025, the compensation calculator has been retired as part of our Job Architecture project.

Current Team Members

Team Members who No Longer Have Access

Access your Total Target Cash range in your Workday profile under the compensation tab if your range was previously available in the Compensation Calculator

Commission-eligible Sales roles not previously in the calculator will be visible in Workday in August

Request a consultation through HelpLab to access ranges for career development planning

Team Members with Retained Access

A small number of team members will retain access during the transition period. If you have retained access, you may continue to use the calculator at the existing URL

External Candidates

If you have any questions, please reach out to your recruiter

SECTION: total-rewards/compensation/compensation-review-cycle/_index.md

Notice: The below pertains to the recently completed FY26 Annual Compensation Review Cycle. Updated information for FY27 will be shared closer to the launch of the cycle.

Introduction

On this page, we explain how we carry out the Annual Compensation Review (ACR) cycle.

If you have any feedback or questions about Annual Compensation Review, please contact HelpLab.

Annual Compensation Review

The purpose of the Annual Compensation Review is to provide managers with the opportunity to reflect on team members' accomplishments, measure achievements against goals, and reward for demonstrated performance and growth potential.

Compensation decisions are based on:

1. Individual factors such as talent assessments outlining performance and growth potential in the role.
1. Internal assessment of our roles and compensation within teams and departments
1. Assessing external market changes in the compensation calculator inputs
1. Other factors includes company performance and available budget, local pay practices and regulations, and eligibility as outlined below

Process overview

mermaid

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```
start((Talent ratings<br/>finalized))
stepacrlaunch(Annual Compensation<br/>Review launches in<br/>Workday)
stepmgrreview(Managers review<br/>and make proposals)
stepexecreview(Executives review)
steppayequity(Total Rewards<br/>conducts pay equity<br/>audit)
stepcompgroup(Comp Group approval)
stepmanagercomm(Manager informs<br/>direct reports of<br/>compensation review<br/>outcomes)
stepcompeffective(New<br/>compensation<br/>effective <br/>1 May)
stop((Refresh grants<br/>approved on the<br/>shared grant approval date))
```

```
start-->stepacrlaunch
stepacrlaunch-->stepmgrreview
stepmgrreview-->stepexecreview
stepexecreview-->steppayeequity
steppayeequity-->stepcompgroup
stepcompgroup--> stepmanagercomm
stepmanagercomm--> stepcompeffective
stepcompeffective--> stop
```

Eligibility

Eligible team members for Annual Compensation Review have a hire date on or before:

- January 31st to be eligible to participate in the merit review program
- October 5th to be eligible to participate in the equity refresh program

Team members on leave will be eligible to receive an annual compensation and/or promotion increase during the GitLab-paid portion of their leave. If a team member is not receiving pay from GitLab, then they'll be eligible to receive the increase when they return to work.

Team members hired after the cutoff date will be reviewed to ensure their salary does not fall below the minimum of the compensation range. Team members may be below the compensation range due to updates to the range for the upcoming year that would include changes to benchmark, location factor, and/or exchange rate, if applicable. If this does occur, the team member will be adjusted to the minimum of the range during the Annual Compensation Review cycle.

Additionally, Team Members who receive a promotion as part of the Q1 FY26 Promotion Cycle (effective February 1st) will be eligible for the Annual Compensation Review process (including merit and equity).

Eligibility for review does not guarantee an increase will be awarded. Awards are recommended in alignment with team members' contributions to the organization (as assessed during Talent Assessment) as is aligned to our pay-for-performance philosophy.

Budget

Our annual cash compensation review budget for FY26 is funded at 3.5% of overall payroll. This budget is in line with the FY25 cycle.

Merit

Merit budget will be allocated for all planning managers, which will consist of budget for performance increases as well as market adjustments, if applicable. Each division leader is responsible for making sure their group stays within budget.

If you are a manager with other managers reporting to you, you will see your overall budget including any budget that rolls up into you in the Organization Summary screen. The overall budget will also reflect when reviewing the planning grids for managers that report to you. When you edit your own planning grid, it will show you the budget for just your direct reports.

Equity

Equity refresh budget will be held at the Dir+ level. Managers below the Director level will not have an equity budget nor will they be able to plan for equity on the Stock tab in Workday. Managers should discuss recommendations for equity awards with their Directors to help inform recommendations as appropriate.

Annual Compensation Review Timeline

2025-03-10 - 2025-03-26: Managers complete merit and equity recommendations

We recommend these general timelines for completion based on your level to enable department heads to review and finalize recommendations by the deadline.

- E-Group Skips and below (e.g. Managers, Sr. Managers, Directors, Senior Directors that report into E-Group direct reports): 2025-03-10 to 2025-03-13 EOD PT
- E-Group Directs (e.g. Senior Directors, VPs that report directly into E-Group leaders): 2025-03-14 to 2025-03-18 EOD PT
- E-group review/approval: 2025-03-20 to 2025-03-26 EOD PT

Additional due dates and touchpoints in the process after the manager review portion closes:

2025-03-26: E-Group submits ACR pay recommendations for their respective departments

2025-03-27 to 2025-03-28: Total Reward conducts pay equity review

2025-03-31 to 2025-04-01: E-Group to review and action on pay equity review

2025-04-02 to 2025-04-07: Total Rewards prepares for Comp Group (CEO/CFO/CPO) approval of all recommendations

2025-04-09: Comp Group approves all recommendations

2025-04-17 - 2025-04-30: Managers communicate talent assessment and compensation decisions to all impacted team members

2025-05-01: Workday visibility date (new comp visible to team members)

For information on the grant approval date and vesting schedule, please refer to the RSU Grant Cadence & Vesting deck.

Important Materials for Review

The following materials are recommended for managers to review ahead of planning:

- Workday Job Aid (internal only): Please utilize the job aid for instructions on how to access and use the planning tool in Workday.
- Information Guide for Managers (internal only): The information guide provides additional detail to what has been provided in the handbook.

Annual Compensation Review Guidelines

Managers should consider both cash and equity when determining a competitive total compensation package for their team members. The below guidelines are recommendations on how to allocate cash and equity to team members based on their Talent Assessment ratings.

Merit

Recommendations for cash compensation increases are based on performance factors in order to reinforce our pay-for-performance philosophy. The following recommendations are guidelines, not guardrails:

- Developing: 0% increase
- Performing: 2% to 5% increase
- Exceeding: 4% to 8% increase
- Too New To Rate: 0% to 4%

>Actual cash compensation increases may vary up or down from these percentages. These guidelines are meant to help ensure company-wide consistency.

Actual increases may vary based on:

- Market adjustments to ensure a team member is in range based on the refreshed FY26 compensation ranges
- Where a team member falls in their compensation range and whether they are already competitively placed in their range for their role, level, and location
- Previous increases
- Internal equity
- Budget

When determining an increase, managers should holistically review the following factors:

- Promotions in the last fiscal year
- Transfers in the last fiscal year
- Recent hire who is already aligned to market/performance rates
- Compensation changes due to relocations
- How team members fall within their band after the proposed increase compared to their peers
- Mandatory or Statutory increases the team member received in the previous year

Additional justification is required in the following situations:

- Increases above guidelines (excluding market adjustments) should have a few sentences on why to assist higher level planners.
- If a manager would like to allocate an increase to a team member who is paid over the maximum of their range or whose increase will bring them above the maximum of the range, they will need to include a few sentences of justification on why.

Team members who aren't receiving an increase or their increase is being delayed due to not performing at their current level should have that clearly communicated.

Market Adjustments

The increase based on performance factor should be added to the team member's market adjustment, if applicable, when recommending the final increase. The market adjustment is required to be allocated to all eligible team members without performance concerns.

Managers of team members receiving a market adjustment have received additional budget to fund their team's market adjustment. The amount of the market adjustment will be specified in the Notes column of the Merit tab.

If there are any reasons as to why a team member should not receive the proposed increase to be aligned with market rates in our calculator, please work with your People Business Partner on appropriate next steps.

Equity

The growth potential factor is used as the primary calibration tool for equity refresh grants. A meaningful grant can reinforce the long-term growth potential of a team member, as well as the value of shared ownership in the Company.

Planning for equity grants will be done at the Director level and above.

In calibrating the equity refresh, we recommend managers to take the following into account:

- Growth Potential factor
- Performance rating
- Key Talent
- Unvested Equity Holdings
- Equity Holdings Vesting in the next 12 months

When determining which team members to allocate an equity refresh grant, managers should avoid the 'peanut-butter approach' and differentiate grant size based on team members' performance and growth potential, zeroing in on team members with a high impact on the team and company's results. Managers should ensure Key Talent is well positioned against their refresh range and target an overall participation rate of 70 - 75%.

The following equity refresh grant guidelines are recommended for those receiving a grant based on the team member's growth potential rating:

- Developing is not funded
- Growing is targeted between the minimum and midpoint of the range
- Exceeding is targeted between the midpoint and maximum of the range
- Too New to Rate is targeted between the minimum and midpoint of the range
- Key Talent is targeted between the maximum and 2x the maximum of the range

Pay Equity Review

The Compensation team will conduct a pay equity review once at the conclusion of the Annual Compensation Review cycle to review any statistically relevant bias for underrepresented groups. This is done utilizing the pay equity platform, Syndio.

Results of the pay equity review will be reviewed by the E-group leader before being actioned.

Communicating Annual Compensation Review

All planning for Annual Compensation Review will be finalized by March 4th in Workday. Visibility in Workday will be limited until May 1st in order to allow managers sufficient time to communicate. Managers will have access to the Total Compensation statement on the team member's record once generated.

Managers should communicate increases to all team members by April 30th.

Further guidelines on communications can be found on the Compensation Review Conversations handbook page.

Total Compensation Statement

Each team member who receives a total compensation increase due to performance, market adjustment, or equity refresh grant during the Annual Compensation Review cycle will receive a Total Compensation Statement detailing their updates to total compensation. This statement will be available for managers to review in Workday no later than April 17th, and team members can access their total compensation statement beginning May 1st.

Specific information on the Total Compensation Statement will be shared clo